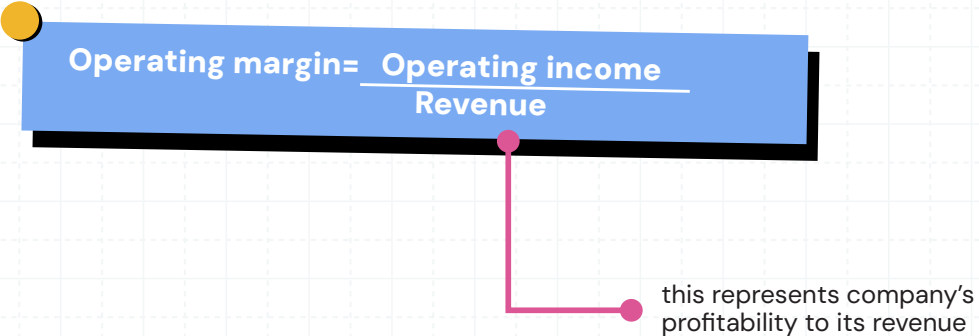


MARGINS

If a company's advantage has not yet started reaping benefits clear to observe from financials, you may still find numbers to back its existence. For instance, a social media company could have an advantage over its competitors that allows it to provide higher engagement for its clients



Operating margin = $\frac{\text{Operating income}}{\text{Revenue}}$

this represents company's profitability to its revenue

The diagram features a blue rectangular box containing the formula. A yellow circle is positioned at the top left corner of the box. A pink line originates from the bottom center of the box, extends downwards, then turns left and then right, ending at a pink dot next to the explanatory text.

INDUSTRY PARAMETERS

If a company's advantage has not yet started reaping benefits clear to observe from financials, you may still find numbers to back its existence. For instance, a social media company could have an advantage over its competitors that allows it to provide higher engagement for its clients

Competitive advantages that do not reflect in financials but reflect in other industry parameters can be seen as reasons for higher operating margins, sales, market share, or costs in future.